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Accton Technology Corporation | Asia Pacific

August Sales +4% MoM/+59% YoY

In this report, we focus on Accton's monthly sales, which we believe could be a catalyst for share price movement.

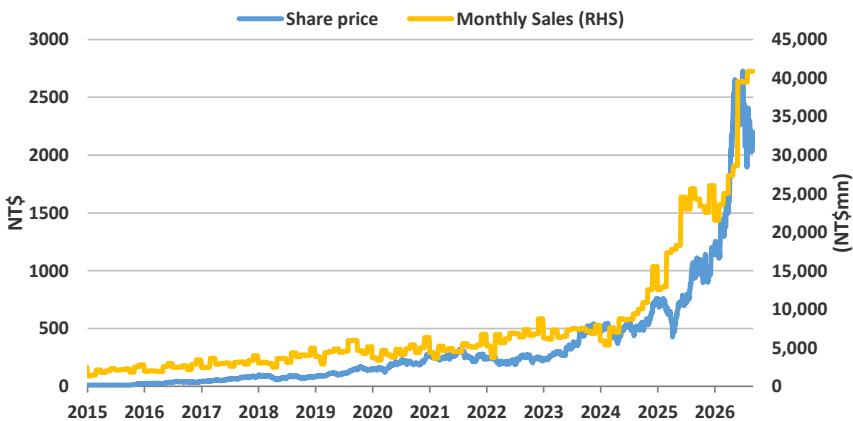
Details:

- August sales were NT\$40,873mn (+4% MoM/+59% YoY).
- QTD reached 66% of our 3Q26 estimate, at NT\$120,883mn (+27% QoQ/+66% YoY), and 70% of consensus, at NT\$114,321mn (+20% QoQ/+57% YoY).

Our view:

- We see 3Q26 revenue tracking in line with our estimates
- Our checks indicate that Accton has been negotiating with customers to let them consign those expensive components, which could weigh on its revenue growth but should be positive to margins.
- Looking ahead, we expect the momentum to remain elevated into 2H26, as it should benefit from broader-based migration to 800G network switches from both existing and new customers, and the ramp of the new AI accelerator model from its major customer should be in full swing.
- Stay OW with a PT of NT\$3,500, based on 30x 2027 P/E.

Exhibit 1: Accton's monthly sales vs. its share price since 2015



Past performance is no guarantee of future results. Results shown do not include transaction costs. Source: Company data, TEJ, Morgan Stanley Research.

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Accton Technology Corporation (2345.TW, 2345 TT)

Top Pick

Greater China Technology Hardware | Taiwan

Stock Rating	Overweight
Industry View	In-Line
Price target	NT\$3,500.00
Up/downside to price target (%)	67
Shr price, close (Sep 7, 2026)	NT\$2,100.00
52-Week Range	NT\$2,825.00-884.00
Sh out, dil, curr (mn)	559
Mkt cap, curr (mn)	NT\$1,173,707
EV, curr (mn)	NT\$1,113,055
Avg daily trading value (mn)	NT\$7,929

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	47.13	83.77	115.77	145.77
Prior EPS (NT\$)**	-	-	-	-
EPS (NT\$)§	45.42	84.45	117.13	164.99
Revenue, net (NT\$ mn)	248,320	413,479	541,272	667,428
EBITDA (NT\$ mn)	33,894	62,436	85,653	106,950
ModelWare net inc (NT\$ mn)	26,342	46,817	64,707	81,472
P/E	25.1	25.1	18.1	14.4
P/BV	11.5	12.5	8.2	5.7
RNOA (%)	622.3(1,479.8)	4,110.1	1,435.9	
ROE (%)	72.6	81.2	69.2	56.9
EV/EBITDA	17.8	17.3	12.1	9.1
Div yld (%)	0.9	0.9	1.3	1.6
FCF yld ratio (%)**	4.5	3.6	5.2	6.6
Leverage (EOP) (%)	(101.7)	(96.2)	(94.8)	(94.4)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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AlphaSignals Catalyst Event Reaction

Company / Catalyst	Date	Impact to thesis	Catalyst versus expectation
Accton Technology Corporation 2345.TW			
August 2026 sales	07 Sep 2026	Unchanged	In-line

Source:Company data, Morgan Stanley Research

Valuation Methodology and Risks

Accton Technology Corporation (2345.TW)

Base case, P/E, which we believe better captures the company's earnings growth momentum. We assign a target P/E of 30x to our 2027 EPS estimate, which we view as justified by an operating profit CAGR of 48% for 2025-28, based on our estimates. This implies a PEG of around 0.6, vs. its average of 0.7 over 2019-25, when the stock was trading at a P/E of 22x for an operating profit CAGR of 32%.

Risks to Upside

- Stronger data center capex
- Faster network switch spec migration
- InfiniBand losing share in AI networks
- Stronger custom AI accelerator growth
- Stronger ODM direct business model adoption

Risks to Downside

- Weaker data center capex
- Slower network switch spec migration
- InfiniBand taking more share in AI networks
- Softer custom AI accelerator growth
- Softer ODM direct business model adoption

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(as of August 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1555	42%	450	48%	29%	767	44%
Equal-weight/Hold	1577	43%	395	42%	25%	770	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	559	15%	93	10%	17%	216	12%
Total	3,694		939			1754	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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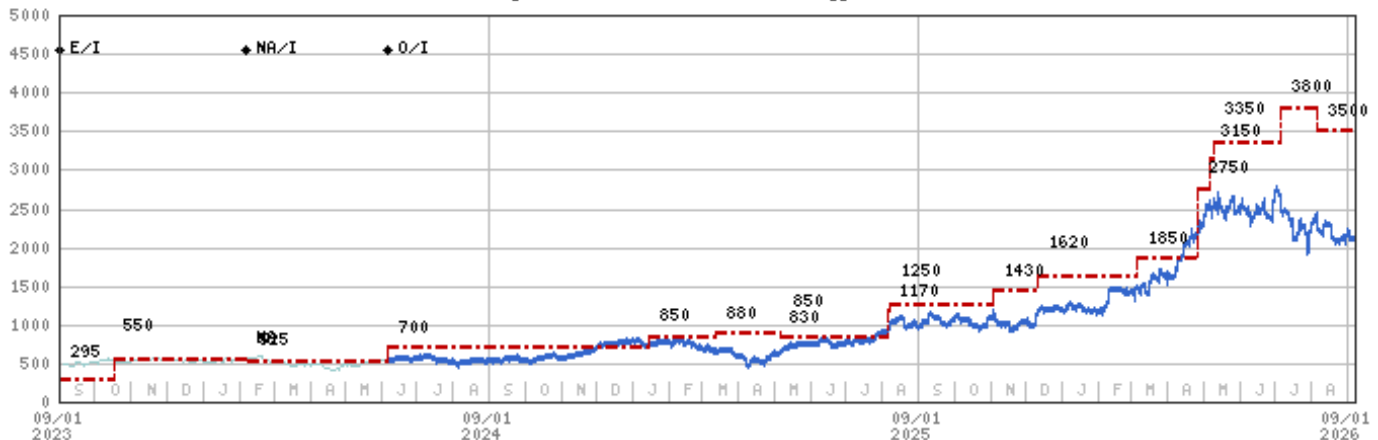
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Stock Price, Price Target and Rating History (See Rating Definitions)

Accton Technology Corporation (2345.TW) - As of 09/07/26 GMT in TWD
Industry : Greater China Technology Hardware



Stock Rating History: 9/1/21 : O/I; 11/12/21 : E/I; 2/7/24 : NA/I; 6/6/24 : O/I

Price Target History: 7/28/21 : 336; 11/12/21 : 265; 1/10/22 : 280; 3/7/22 : 270; 5/13/22 : 235; 6/7/22 : 248; 8/12/22 : 275; 5/22/23 : 285; 8/10/23 : 295; 10/17/23 : 550; 2/7/24 : NA; 2/8/24 : 525; 6/6/24 : 700; 1/14/25 : 850; 3/13/25 : 880; 5/6/25 : 830; 5/9/25 : 850; 8/6/25 : 1170; 8/8/25 : 1250; 11/4/25 : 1430; 12/12/25 : 1620; 3/6/26 : 1850; 4/27/26 : 2750; 5/7/26 : 3150; 5/11/26 : 3350; 7/6/26 : 3800; 8/7/26 : 3500

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (09/07/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$43.50
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb184.47
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$26.88
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.64
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb16.28
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb417.20
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT\$987.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb23.60
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.47
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb34.87
Largan Precision (3008.TW)	O (07/10/2026)	NT\$6,660.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb6.84
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb12.65
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK\$6.63
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK\$61.40
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb55.93
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb7.53
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$5.92
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb63.22
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$42.82
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb54.80
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$69.55
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb267.00
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb18.10
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$27.50

Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb400.51
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK\$175.20
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb108.33
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb25.79
Zhongji Innolight Co Ltd (300308.SZ)	O (09/07/2026)	Rmb898.46
Zhongji Innolight Co Ltd (3308.HK)	O (09/07/2026)	HK\$1,203.00
ZTE Corporation (0763.HK)	O (06/04/2026)	HK\$23.80
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb33.28
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$2,100.00
Advantech (2395.TW)	O (01/20/2021)	NT\$680.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,370.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$3,420.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$28.70
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$1,440.00
Bizlink (3665.TW)	O (03/10/2025)	NT\$2,070.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb5.68
Chenbro (8210.TW)	O (07/23/2025)	NT\$937.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$2,230.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$1,850.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT\$150.50
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$67.20
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$2,265.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$364.50
Innolux (3481.TW)	E (04/07/2025)	NT\$49.95
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$13,905.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb35.78
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$299.00
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.81
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb6.60
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb197.00
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$32.30
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$999.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$208.50
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$40.05
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$5.49
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb66.57
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$364.50
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$1,120.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$256.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb74.74
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$3,070.00
Lenovo (0992.HK)	O (07/10/2026)	HK\$32.36
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$1,695.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$1,050.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$93.60
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$347.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb148.15
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb364.98
Unimicron (3037.TW)	O (02/23/2026)	NT\$949.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$500.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$197.00
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$2,490.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$589.00

Zhen Ding (4958.TW)	++	NT\$501.00
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* Historical prices are not split adjusted.